***Peter Hernandez v. Zurn Industries, LLC, et al.*, 23CVP-0147**

Hearing: **Continued Motion for Preliminary Approval of Class Action Settlement**

Date: **August 19, 2026**

Peter Hernandez (Hernandez) filed this wage and hour class action against Rexnord Industries, LLC (Rexnord) and Zurn Industries, LLC, d/b/a Zurn Elkay Water Solutions and/or Zurn Wilkins (Zurn) on May 2, 2023. Zurn and Rexnord filed answers. On or about April 2, 2025, Hernandez entered into a Class Action and PAGA Settlement Agreement (Settlement Agreement) with Zurn and related entities. (Declaration of Gregg Lander (Lander Dec.), ¶¶ 5, 11, Ex. 1.) On March 17, 2025, Plaintiff filed a First Amended Complaint (FAC) as required by the terms of the Settlement Agreement. (Lander Dec., Ex. 1, § 2.1.)

The FAC makes allegations against Zurn and new defendants Zurn Water, LLC, Zurn LLC, and Zurn Elkay Water Solutions Corporation (Defendants). On June 26, 2026, the new defendants filed a Notice of Appearance subjecting them to the jurisdiction of the Court. Rexnord was dismissed from the action by a stipulated order on November 21, 2025, and is not a party to the settlement.

Plaintiff's motion for preliminary approval of a class action settlement was heard on November 12, 2025, and again on March 25, 2026. The Court entered rulings discussing issues that prevent preliminary approval of the settlement and continued the hearing to allow further briefing.

In addition to the added defendants having now appeared in the action, Hernandez has filed a Second Supplemental Brief in Support of Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement (Supplemental Brief) and the Declaration of Marta Manus in Support of Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement (Manus Dec.). The Supplemental Brief and Manus Dec. include evidence addressing the concerns raised by the Court regarding claims against the added defendants and class-wide common questions of law and fact, typicality, and adequacy of class representatives.

I. Settlement Approval Process

There are three stages to the Court's settlement approval process: (1) preliminary approval of the proposed settlement at an informal hearing; (2) notice of the settlement to all affected class members; and (3) final approval after a formal hearing. The current motion is the first stage of the process.

The Court may approve settlements reached before or after certification of the class. (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 240, disapproved on another ground in *Hernandez v. Restoration Hardware, Inc*. (2018) 4 Cal.5th 260, 269.) Here, the class was not certified prior to the settlement, and Plaintiff seeks class certification for purposes of the settlement. The certification issue is addressed below.

When seeking preliminary approval of the settlement, the settlement agreement and proposed notice to class members must be filed, and the proposed order must be lodged with the motion. (Cal. Rules of Court, rule 3.769(c).) Plaintiff has done so here.

II. The Proposed Settlement

The terms of the settlement provide that Defendants shall pay a total of $800,000, exclusive of the employer's portion of payroll taxes and fees. Costs to be deducted from that amount are: (1) attorneys' fees of $266,667 (1/3 of gross settlement amount) to class counsel; (2) legal costs of up to $20,000; (3) an incentive award of $15,000 to Hernandez as the class representative; (4) an amount not to exceed $13,238 to the third-party settlement administrator; and (5) $80,000 in PAGA penalties ($60,000 to LWDA; $20,000 to Aggrieved Employees).

The proposed class contains all persons employed by the Defendants in California as hourly-paid, non-exempt employees during the Settlement Period. The Settlement Period is May 2, 2019, through July 10, 2024.

The projected average class member payment is approximately $1,411.48. ((Lander Dec., ¶ 7.) Class members will not need to do anything to participate in the settlement and the gross settlement is non-reversionary.

III. Class Certification Requirements

Under California law, the basic requirements to sustain a class action are an ascertainable class, a well-defined community of interest in the questions of law and fact involved, and substantial benefits from certification that render proceeding as a class superior to the alternatives. (Code Civ. Proc., § 382; *Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

"[C]lass action settlements should be scrutinized more carefully if there has been no adversary certification." (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 94 [citations omitted].) Special attention to class requirements is warranted in settlement-only class action certifications in the interest of blocking unwarranted or overbroad class definitions. (*7-Eleven Owners for Fair Franchising v. Southland Corp*. (2000) 85 Cal.App.4th 1135, 1161.)

A. Ascertainable Class

The Agreement defines "Class Members" as "all persons employed by the Defendants in California as hourly-paid, non-exempt employees during the Settlement Period." "Settlement Period" is defined as "the period from May 2, 2019, through July 10, 2024." The class is ascertainable based on these definitions.

B. Well-defined Community of Interest in Questions of Law and Fact and Suitability of Class Representative

In determining whether common issues predominate in a litigation the court examines the plaintiff's theory of recovery and the legal and factual disputes that are likely to be presented.

(*Dailey v. Sears, Roebuck & Co.* (2013) 214 Cal.App.4th 974, 988 [emphasis added].) " 'As a general rule if the defendant's liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.' " (*Id.* [citations omitted].)

Hernandez presents the Declaration of Jonathan Schmidt, Human Resources Director for Zurn Water LLC, which explains corporate renaming and restructuring that rendered all Defendants potentially liable for the wage and hour violations alleged by Hernandez. (Manus Dec., Exh. 1 (Schmidt Dec.), ¶¶ 3-8.) Mr. Schmidt also confirms that regardless of work location and which entity employed workers the putative class members were subject to the same written wage and hour policies, payroll practices, and timekeeping procedures as Plaintiff. (Schmidt Dec., ¶¶ 9-11.)

The Supplemental Declaration of Hernandez provides evidence that the wage and hour claims derived primarily from policies and practices applied to all employees regardless of job title and duties. (Manus Dec., Ex. 2 (Supp. Hernandez Dec.), ¶¶ 2-4.) For example, Hernandez witnessed other employees with different job titles and duties having to wait to clock in as he did due to the company policy and single timeclock. (Supp. Hernandez Dec., ¶ 5.) Hernandez witnessed other employees and spoke with other employees concerning working off the clock, missing breaks, receiving gift cards as bonuses, and not receiving reimbursement for use of personal items, as he did, due to corporate policies and practices. (Supp. Hernandez Dec., ¶¶ 6-9.)

"The burden is on the party seeking certification to establish the existence of both an ascertainable class and a well-defined community of interest among the class members. 'The community of interest requirement [for class certification] embodies three factors: (1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.' " (*Luckey v. Superior Court*, *supra*, 228 Cal.App.4th at p. 92.)

The Court finds that the moving papers, including the Schmidt Dec. and Supp. Hernandez Dec., provide sufficient evidence to satisfy this burden.

IV. Reasonableness of Settlement

The purpose of preliminarily evaluating class action settlements is to determine whether the proposed settlement is within the "range of reasonableness" for possible approval, and whether it is worthwhile to issue notice to the class and schedule a formal hearing. (Cabraser, Cal. Class Actions and Coordinated Proceedings (2d ed. 2020) ¶ 14.02.) A presumption of fairness applies if there has been arm's length bargaining, investigation has been sufficient to allow counsel and the court to act intelligently, class counsel is experienced in similar litigation, and the percentage of class members who object to the settlement is small. (*Ibid.*)

Hernandez's counsel reports that the Settlement was reached through an arm's-length negotiation with an experienced mediator, Mark C. Peters, and that before mediation, there was informal discovery. Defendants provided Hernandez with policies and practices and data related to the claims asserted. "Defendant Zurn provided time and pay records for 100 Class Members and other information necessary for Plaintiff to create a damages exposure analysis. Plaintiff hired an expert, Berger Consulting Group – Economic Data Analysts, to prepare damage calculations and an exposure analysis for the mediation." (Lander Dec., ¶ 17.)

Hernandez's attorneys have shown that they are experienced with this type of litigation. (Lander Dec., ¶¶ 39-44; Manus Dec., ¶¶ 16-20.) Counsel estimates Defendants' maximum potential exposure at approximately $1,693,449. (Lander Dec., ¶ 34.) Mr. Lander opined that the settlement is in the best interests of the Class and is fair and reasonable. (Lander Dec., ¶¶ 34, 35.) Having reviewed the claims at issue, Hernandez's arguments in the memorandum of points and authorities and supplemental brief, and the evidence submitted in support of the motion, the Court finds, for purposes of this preliminary approval, that the proposed settlement is within the acceptable range of recovery.

V. Notice

If the court has certified the litigation as a class action, notice must be given to the class members and must contain "an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (Cal. Rules of Court, rule 3.769(f).)

Pursuant to California Rules of Court, rule 3.766(d), if class members are to be given the right to request exclusion from the class, the notice must include the following:

(1) A brief explanation of the case, including the basic contentions or denials of the parties;
(2) A statement that the court will exclude the member from the class if the member so requests by a specified date;
(3) A procedure for the member to follow in requesting exclusion from the class;
(4) A statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and
(5) A statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel.

Here, the proposed notice provides a background of the litigation and claims and informs members of the settlement and their respective rights. The proposed notice sets forth a breakdown of the settlement amount, including the total gross settlement amount, and the maximum amounts of the proposed deductions (i.e., attorneys' fees; class counsel's costs; settlement administrator's costs; representative plaintiff payment). In addition, the proposed notice sets forth how each class member's payment will be calculated and further explains how class members can opt out of or object to the settlement. (Lander Dec., Ex. A to Ex. 1.)

VI. Conclusion

Hernandez has satisfied the procedural requirements for preliminary approval of class action settlement, and the settlement amount appears fair and reasonable. The Court grants preliminary approval of the settlement; appointment of Hernandez as the class representative; appointment of

D. LAW, Inc. and Kingsley Szamet Employment Lawyers as class counsel;[1] appointment of Rust Consulting, Inc. as the third-party settlement administrator; and the proposed method and form of the notice. The Court also conditionally certifies the class as defined in the motion.

The Court shall set a date for the final approval hearing.

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[1] Hernandez's motion seeks appointment of "Gregg Lander, Vanessa M. Ruggles, and Taylor B. Keaster of D. Law, Inc. and Eric Kingsley and Kelsey M. Szamet of Kingsley Szamet Employment Lawyers as Class Counsel." (Motion for Preliminary Approval, p. 2, ln. 12-14.) Counsel should confirm whether these attorneys continue to represent the class.